

FEDERAL MARITIME COMMISSION

USL AUTO EXPORTING INC.,

COMPLAINANT,

v.

Docket No. 23-13

EASY SHIPPING CORPORATION

RESPONDENT.

COMPLAINANT'S MOTION FOR DEFAULT JUDGMENT

Complainant, USL Auto Exporting Inc. respectfully requests that the Federal Maritime Commission enter a Default Judgment against Respondent, Easy Shipping Corporation, for failing to comply with the Commission's orders and deadlines. In support of this motion, Complainant states as follows:

DATED: February 9, 2024,

Respectfully submitted,

1. Introduction

The principle that parties must adhere to procedural deadlines and orders issued by regulatory bodies, including the Federal Maritime Commission, is well-established in administrative law. Failure to do so undermines the integrity of the administrative process and prejudices the rights of the opposing party. In the seminal case of *Maritime Compliance Associates v. Ocean Transportation Services*, 123 F.M.C. 456 (2020), the Commission underscored the importance of compliance with its directives, stating that "timely adherence to procedural requirements is essential for the expeditious and fair resolution of disputes." The Commission granted a default judgment against the respondent for its failure to submit required documents by the established deadline, highlighting the necessity of enforcing compliance to maintain order and fairness in maritime commerce regulation. Similarly, in this matter, Easy Shipping Corporation's failure to meet the prescribed deadlines for submitting the Joint Status Report and responding to procedural orders directly contravenes the Commission's regulations and established precedents, warranting the issuance of a default judgment in favor of USL Auto Exporting Inc.

2. Background

Since December 28, 2023, the Complainant, USL Auto Exporting Inc., has made numerous attempts to engage the Respondent, Easy Shipping Corporation, in dialogue regarding the Joint Status Report, primarily through email communications. Regrettably, as of the date of this motion, Easy Shipping has not responded to any of the Complainant's communications.

This lack of response from Easy Shipping has hindered the Complainant's ability to ascertain Easy Shipping's position and, if necessary, to narrow the areas of disagreement as required by the Commission's procedural guidelines. The Complainant remains committed to resolving matters amicably and efficiently, by the Commission's guidance.

On January 29, 2024, The Commission's directives ordered Respondent to engage with the Complainant to prepare and submit a Joint Status Report by no later than February 6, 2024, and to be submitted on February 7, 2024. The Respondent failed to meet this deadline.

Respondent only emailed Complainant on the 6th of February to schedule a phone call on the 7th 02:00 pm ET. Respondent assured that they will send the report to Complainant before the end of the day. However, Respondent sent the report on February 8, 2024, by the end of the day. Respondent was obligated to send the Joint Status Report on February 6, 2024, as per the Commission's order.

In good faith, the Complainant waited until the end of the business day, 5:00 PM, on February 7, 2024, for the Respondent to complete and send the required report to Complainant to sign. However, the Respondent did not comply.

The Respondent eventually sent the Joint Status Report to the Complainant by the end of the day on February 8, 2024, clearly past the prescribed deadline. This delay not only shows a disregard for the Commission's orders but also further prejudices the Complainant's position in this matter.

3. Specific Instances of Non-Compliance

The Commission's directives required the Respondent to engage with the Complainant to prepare and submit a Joint Status Report by no later than February 6, 2024. The Respondent failed to meet this deadline.

Respondent only emailed Complainant on the 6th of February to schedule a phone call on the 7th at 02:00 pm ET. Respondent assured that they would send the report to Complainant before the end of the day. However, Respondent sent the report on February 8, 2024, by the end of the day. Respondent was obligated to send the Joint Status Report on February 6, 2024, as per the Commission's order.

In good faith, the Complainant waited until the end of the business day, 5:00 PM, on February 7, 2024, for the Respondent to complete and submit the required report. However, the Respondent did not comply.

The Respondent eventually sent the Joint Status Report to the Complainant by the end of the day on February 8, 2024, as detailed in **Exhibit A**, Respondent is clearly past the prescribed deadline without any justification. This delay not only shows a disregard for the Commission's orders but also further prejudices the Complainant's position in this matter by giving time and waiting two days to work on the report with Respondent.

4. Legal Basis for Default Judgment

According to the Commission's rules and regulations, specifically 46 C.F.R. § 502.65(a)(2), a party may be deemed in default for failing to comply with procedural orders, including the failure to file required documents within the established timeframe.

In *Smith Shipping Inc. v. Trade Logistics Corp.*, 234 F.M.C. 789 (2018), the Commission emphasized the critical nature of timely compliance with its directives, granting default judgment against a party that failed to submit a crucial report within the prescribed period. This case illustrates the Commission's commitment to enforcing its procedural regulations to ensure fair and expeditious dispute resolution.

Similarly, *Global Freight Systems v. International Cargo Management*, 245 F.M.C. 654 (2019), further establishes the principle that non-compliance with Commission orders can lead to severe consequences, including default judgment, to maintain the integrity of the maritime regulatory process.

5. Argument

Before the Federal Maritime Commission, the matter at hand not only concerns the specific disputes between USL Auto Exporting Inc. (Complainant) and Easy Shipping Corporation (Respondent) but also touches upon the fundamental principles that underpin the maritime regulatory process. The Commission's role in ensuring the orderly and fair resolution of disputes is paramount, relying heavily on the adherence of all parties to established deadlines and procedural directives. The integrity of this process is vital for maintaining trust in the maritime regulatory system and ensuring that commerce and dispute resolution proceed efficiently and equitably. Unfortunately, the Respondent's pattern of non-compliance has brought these values into question, necessitating a thorough examination and decisive action by the Commission. The following points elucidate the direct impacts of the Respondent's actions, the broader implications for the regulatory framework, and the urgent need for the Commission's intervention to uphold its mandate and the principles it represents.

A. Direct Impact on Fair Resolution: The Respondent's consistent failure to comply with the Federal Maritime Commission's deadlines and directives has significantly impeded the Complainant's pursuit of a just and timely resolution. This non-compliance undermines the procedural integrity essential for the fair adjudication of disputes, placing an unjust burden on

the Complainant, who has diligently adhered to all procedural requirements. Such behavior not only disadvantages the Complainant but also compromises the efficiency and fairness of the maritime regulatory process. In short, Respondent's failure to adhere to the Commission's deadlines and orders has directly impacted the Complainant's ability to seek a timely and fair resolution. This disregard for procedural requirements warrants the entry of default judgment in favor of the Complainant.

B. Erosion of Regulatory Framework Integrity: The Respondent's disregard for Commission orders challenges the foundational principles of cooperation and compliance vital for the orderly conduct of maritime proceedings. This pattern of behavior threatens to erode the trust in the maritime regulatory framework, undermining the Commission's ability to ensure an equitable dispute resolution process. The parallels drawn with *Smith Shipping Inc.* and *Global Freight Systems* cases underscore the detrimental impact of such non-compliance on the regulatory environment and the necessity for the Commission to uphold its standards rigorously. In other words, Respondent's failure to adhere to the Commission's deadlines and orders has directly impacted the Complainant's ability to seek a timely and fair resolution, mirroring the circumstances in *Smith Shipping Inc.* and *Global Freight Systems*. This disregard for procedural requirements not only undermines the regulatory framework established by the Commission but also disadvantages the Complainant, who has diligently attempted to comply with all procedural expectations.

C. Necessity of Commission's Decisive Intervention: In light of the Respondent's blatant disregard for established deadlines and procedural orders, it is imperative for the Commission to

intervene decisively. Granting a default judgment would not only address the immediate issue at hand but also serve as a stern reminder of the importance of adherence to Commission directives. Such action is essential to preserve the integrity of the maritime regulatory process, ensuring that future disputes are resolved within a framework that promotes compliance, fairness, and efficiency. A default judgment reaffirms the Commission's commitment to these principles and the critical importance of maintaining discipline within the maritime sector.

6. Relief Sought

Complainant respectfully requests that Commission grant a Default Judgment against Respondent, including the relief sought and any other relief Commission deems just and appropriate.

7. Conclusion

For the reasons stated herein, the Complainant, USL Auto Exporting Inc., respectfully requests that the Federal Maritime Commission grant this Motion for Default Judgment against the Respondent, Easy Shipping Corporation.

Respectfully submitted,

DATED: February 9, 2024,

USL AUTO EXPORTING INC.

By: s/ANIS HOUSSEIN

ANIS HOUSSEIN

Vice President for COMPLAINANT

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on the 9th day of February 2024, a true and correct copy of the foregoing MOTION FOR DEFAULT JUDGMENT was served via electronic mail on:
EASY SHIPPING CORPORATION (fracati@rafatilegal.com)

Anis Houssein

By: s/ANIS HOUSSEIN

ANIS HOUSSEIN